(In millions of Korean won)	September 30, 2015		September 30, 2014	
	3 Months	9 Months	3 Months	9 Months
Finance expense				
Interest expense:	₩ 205,234	₩ 561,371	₩ 154,360	₩ 442,545
Interest expense from financial liabilities measured at amortized cost	123,444	340,561	96,161	288,964
Other financial liabilities	81,790	220,810	58,199	153,581
Foreign exchange differences	2,875,464	6,250,109	1,131,322	3,768,362
Loss on derivatives	247,888	763,804	154,477	465,955
Total	₩ 3,328,586	₩ 7,575,284	₩ 1,440,159	₩ 4,676,862

(B) The Group recognizes foreign exchange gains and losses arising from foreign currency transactions and translation as finance income and expense.

21. Income Tax Expense

Income tax expense is recognized based on management's best estimate of the average annual income tax rate expected for the full financial year. The average annual tax rate expected as of September 30, 2015 to be effective for the year ended December 31, 2015 is 25.4%.

22. Earnings per Share

(A) Basic earnings per share

Basic earnings per share for the three and nine months ended September 30, 2015 and 2014 are calculated as follows:

(1) Common stock

(In millions of Korean won and thousands of shares, except per share data)	September 30, 2015		September 30, 2014	
	3 Months	9 Months	3 Months	9 Months
Net income as reported on the statements of income	₩ 5,306,104	₩ 15,452,161	₩ 4,135,422	₩ 17,796,608
Net income available for common stock	4,607,382	13,417,361	3,590,812	15,453,185
Weighted-average number of common shares outstanding	129,313	129,362	130,963	130,949
Basic earnings per share (in Korean won)	₩ 35,630	₩ 103,720	₩ 27,419	₩ 118,009

(2) Preferred stock

(In millions of Korean won and thousands of shares, except per share data)	September 30, 2015		September 30, 2014	
	3 Months	9 Months	3 Months	9 Months
Net income as reported on the statements of income	₩ 5,306,104	₩ 15,452,161	₩ 4,135,422	₩ 17,796,608
Net income available for preferred stock	698,722	2,034,800	544,610	2,343,423
Weighted-average number of preferred shares outstanding	19,604	19,611	19,854	19,854
Basic earnings per preferred share (in Korean won)	₩ 35,642	₩ 103,760	₩ 27,431	₩ 118,034

(B) Diluted earnings per share

The Group has one category of potentially dilutive ordinary shares: stock options. Dilutive earnings per share is calculated by adjusting the weighted average number of ordinary shares outstanding to assume conversion of all dilutive potential ordinary shares.

Diluted earnings per share for the three and nine months ended September 30, 2015 and 2014 are calculated as follows:

(1) Common stock

(In millions of Korean won and thousands of shares, except per share data)	**September 30, 2015**		**September 30, 2014**	
	3 Months	**9 Months**	**3 Months**	**9 Months**
Net income available for common stock and common stock equivalents	₩ 4,607,405	₩ 13,417,429	₩ 3,590,822	₩ 15,453,227
Weighted-average number of shares of common stock and common stock equivalents	129,315	129,365	130,965	130,959
Diluted earnings per share (in Korean won)	₩ 35,629	₩ 103,718	₩ 27,418	₩ 118,000

(2) Preferred stock

(In millions of Korean won and thousands of shares, except per share data)	**September 30, 2015**		**September 30, 2014**	
	3 Months	**9 Months**	**3 Months**	**9 Months**
Net income available for preferred stock and preferred stock equivalents	₩ 698,699	₩ 2,034,732	₩ 544,600	₩ 2,343,381
Weighted-average number of shares of preferred stock and preferred stock equivalents	19,604	19,611	19,854	19,854
Diluted earnings per preferred share (in Korean won)	₩ 35,641	₩ 103,756	₩ 27,431	₩ 118,032